

December 16, 2025

Governor Bob Ferguson
P. O. Box 40002
Olympia, WA 98504-0002

Dear Governor Ferguson,

The Washington Clean Energy Coalition and Third Act Washington offer this joint letter in response to the December 1, 2025¹ recommendations of the Washington Data Center Workgroup.

Our organizations submitted detailed public comments at various times during the Workgroup's deliberations, and we were encouraged that our comments were shared with Workgroup members in a timely manner. Unfortunately, the Workgroup's recommendations reflect the priorities of industry participants more than the concerns of voters, ratepayers, and residents who might find data centers uncomfortably close to their homes.

We applaud inclusion of the minority reports in the recommendations, especially the detailed analysis and thoughtful recommendations of the Yakama Nation, whose efforts are a great service to our state, and the important information provided by the Department of Ecology regarding data center developers' plans to use fossil-fueled power generation.

We will focus our recommendations on seven issues:

1. Data center impacts on clean energy goals
2. Energy prices
3. Grid stability/reliability
4. Water usage
5. Quality of life for neighbors
6. Tax incentives and equity
7. Shaping our future

Clean energy goals

We are proud to live in a state that leads the nation in climate and energy with legislation such as the Climate Commitment Act (CCA) and Clean Energy Transformation Act. These landmark bills have been supported by voters on several occasions.

We were encouraged by the Workgroup's first recommendation: "Maintain the integrity of Washington's climate laws." However, the statements and intentions of industry participants raise troubling questions about their commitment to this principle.

For example, the Workgroup rejected recommendation #5, which would require data centers to use clean energy to qualify for a tax break. This proposal was defeated by one vote due to opposition from the Data Center Coalition (DCC) and industry representatives. We believe that this vote does not reflect the will of Washington voters.

¹ Data Center Workgroup: Preliminary Report, <https://dor.wa.gov/sites/default/files/2025-12/2025DataCntrWrkgrpPrelimReport.pdf>

We were even more surprised by revelations in the Department of Ecology’s minority report: “Multiple data center developers have shared proposals with Ecology to use fossil fuels as the main source of their power.” “Very few data center developers are proposing to use clean energy to meet their energy needs.”

Furthermore, DCC plainly states that data centers will ignore the state’s clean energy aspirations during energy emergencies: “... data centers cannot turn off. Instead, the industry will utilize backup generators to maintain services if participating in demand response programs.”²

These positions are antithetical to Washington’s clean energy laws in three ways:

1. Using fossil fuel generators to power large data centers extends our reliance on harmful technology, making transition to clean energy more challenging.
2. Significant use of fossil fuels will increase competition for a tightening supply of CCA allowances. This will increase costs for customers who do not have sufficient funds to transition to cleaner energy solutions. The customers may blame the limited supply of allowances rather than the industry that is causing increased demand for the allowances.
3. During power outages, fossil fuel generators can degrade air quality in overburdened communities, especially when there are coinciding hazards such as winter inversions, wildfire smoke, or heat domes. In these circumstances, when pollutant dispersion is limited or baseline exposure is already high, health risks can become dangerous for people with respiratory and cardiovascular conditions.

Recommendation: Data centers must be required to always use clean energy. Data centers must not displace other users of clean energy in any way that jeopardizes conformity with Washington’s clean energy laws. This is consistent with a plain reading of the Workgroup’s first recommendation.

Energy prices

Nationwide, electricity prices have risen 40% since 2020, significantly higher than the overall increase in the cost of living.³ One in six families is late paying an energy bill.

Demand from data centers is at least partially responsible for these increases. Some data centers consume as much as a small city. Electric utilities are challenged to build new energy resources to serve the increased load. Additional infrastructure is needed to maintain the stability and reliability of the grid (see next section).

Recommendation: The companies which benefit from revenues and services provided by a data center must pay for the cost of powering the data center with clean energy. This condition means that data centers will operate by their true costs rather than obscuring the actual cost by charging ratepayers and/or taxpayers.

² Data Center Workgroup: Preliminary Report, p. 27

³ <https://www.npr.org/2025/11/06/nx-s1-5597971/electricity-bills-utilities-ai>

Grid stability/reliability

Lacking careful design and regulation, data centers can destabilize electric grids due to large oscillations in demand inherent in the process of training AI models. Fluctuations of tens or hundreds of megawatts can cause other stressed elements of the grid to fail, leading to blackouts that can impact large regions.

Fortunately, there are many remedies. Reports by Camus⁴ and Rewiring America⁵ show different ways that data centers can coordinate with communities and grid operators to expedite development while also helping us to achieve desirable goals. We believe that win-win outcomes are possible.

Recommendation: *Data centers must have sufficient battery storage or smart energy management to present only benign loads to the grid. Residents and businesses should be assured that they will experience increased stability and reliability if a data center is sited near their community.*

Water usage

Large data centers can consume up to 5 million gallons per day for cooling, equivalent to the water use of a town populated by 10,000 to 50,000 people.⁶ Although the Pacific Northwest has more water than some parts of the country, our supply of fresh water is under increased strain and is neither guaranteed nor constant. A “low snow year” can significantly reduce stream flow in the late summer and early fall. Absent thoughtful regulation, data centers will compete for water that is needed by farmers, fish, and cities. Scarcity could cause water to become expensive or rationed, especially as our region becomes warmer and drier.

Recommendation: *Data centers must not increase competition/prices for water. The suitability of data center sites should be carefully evaluated with water availability in mind.*

Quality of life for neighbors

When data centers are permitted through general orders rather than project-specific SEPA review, it becomes difficult to assess whether facility-related noise would disturb the daily lives of nearby residents or institutions. For example, noise impacts are inherently site-specific and cumulative, and generalized permitting frameworks may lack the data, transparency, and community engagement necessary to evaluate or enforce this standard. We are particularly concerned about the well-being of communities that already endure disproportionate environmental and health burdens.

Recommendation: *Data center siting and permitting must undergo project-level SEPA review for localized impacts including noise, air quality, and other neighborhood-scale effects.*

⁴ <https://www.camus.energy/flexible-data-center-report>

⁵ <https://www.utilitydive.com/news/heat-pump-solar-and-storage-deployment-could-offset-ai-load-through-2029/761013/>

⁶ <https://www.eesi.org/articles/view/data-centers-and-water-consumption>

Tax incentives and equity

“Favorable tax incentives” are mentioned in the second paragraph of the Workgroup report’s Executive Summary. DCC and industry representatives want our state to reward them for creating jobs and economic growth. While we understand these benefits, we must weigh them against risks and negative impacts of vigorous data center growth.

Because we have numerous unanswered questions regarding the balance of benefits and adverse impacts of data centers, it seems inappropriate for wealthy companies to demand that taxpayers and ratepayers subsidize their development. Tax incentives would be paid from the pockets of people who are already struggling and may not directly benefit from the operation of data centers. In some cases, people could be injured, dislocated, or thrown out of work by data centers in their communities.

This raises the question of equity. Every person, regardless of who they are, should share in the benefits of this technological revolution and also be spared from significant harms. The public has no guarantee that the enormous profits generated by AI will enrich their lives.

Recommendation: *In return for facilitating data centers in Washington, companies should contribute a significant percentage of data center profits to a state fund that assists people who need to relocate, retrain, or get medical or legal assistance to remediate harms caused by AI and data centers.*

Shaping our future

We recognize that data centers, and the AI they enable, are a new and potentially useful part of our technological landscape. But many questions remain about the economics and useful capacity of data centers. It is even possible that some data centers will become stranded assets, imposing burdens on communities rather than benefits. Current AI researchers, as well as the godfathers of AI, the heads of some AI tech companies, and Nobel Prize winners have signed petitions urging caution regarding this new technology.⁷

Recommendation: *Washington State should prioritize legislation and regulations to protect our clean energy goals, minimize price increases, assure the stability of our electric grid, and avoid harm to local constituents. Proceeding with caution is the wisest course.*

Sincerely,

Don Marsh, Chair
Washington Clean Energy Coalition

Chris Goelz
Third Act Washington

⁷ <https://time.com/7327409/ai-agi-superintelligent-open-letter/>